

Report to Investors in The Children's Investment Fund

Period: 1st January 2004 to 31st March 2004

We will be holding a conference call for investors on Monday 5th April at 11.30 EST to go through details of our performance and investment strategy.

Dear Investor,

Returns

Returns to investors for this period, net of both fees and charitable donations from the Fund (but before any accrual for charitable donations payable if the Fund exceeds a net 10.5% return), are shown below.

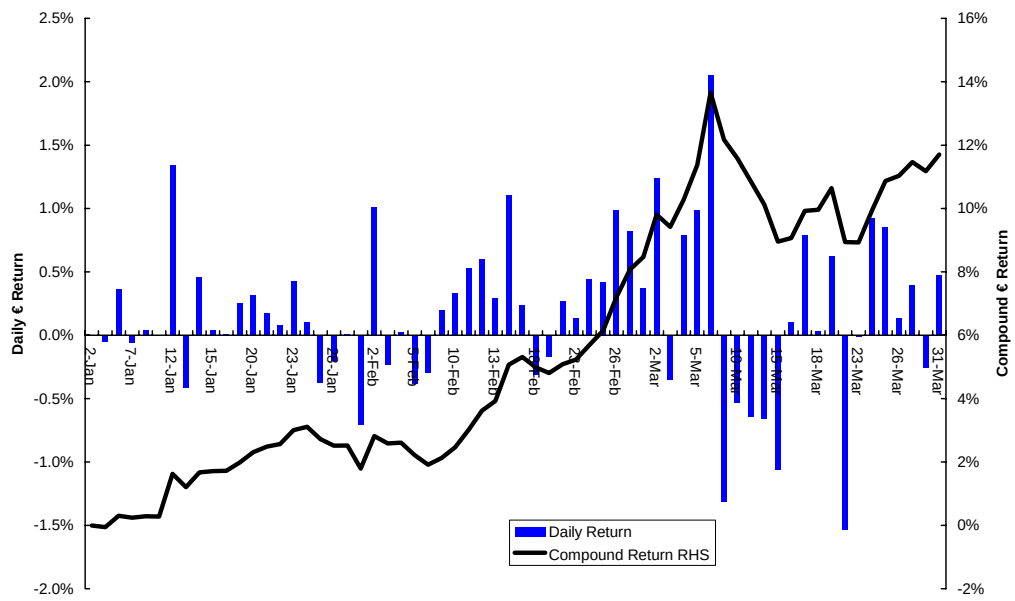
Period	Master Fund Assets €m	Class A (3yr) \$	Class B (5yr) \$	MSCI Europe (\$)	SP500 (\$)	MSCI World (\$)
January	374.8	+1.36%	+1.41%	+1.11%	+1.73%	+1.54%
February	531.7	+5.07%	+5.26%	+2.78%	+1.22%	+1.55%
March	553.6	+2.56%	+2.66%	-3.50%	-1.64%	-0.89%
Quarter		+9.22%	+9.58%	+0.28%	+1.29%	+2.20%

Source: Citco Fund Services for Jan and Feb, TCI in-house estimate for March; Bloomberg LP

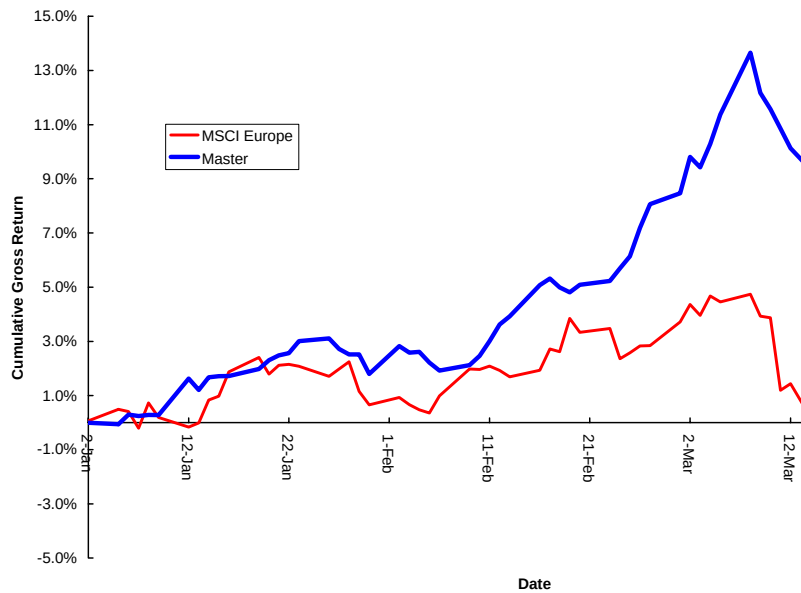
We are pleased to report that the Fund has been able to get fully invested in securities which we believe will, over the long term, achieve our net 10% p.a. return target with low expected risk of permanent capital loss which we set out in our October conference call. Whilst we show for comparison purposes general stock market returns, and undeniably have market sensitivity, our goal is an absolute return irrespective of markets being up or down.

Daily returns during the quarter are set out in the graph below. The most noteworthy point is that our steady gains were partly reduced during March by the general correction in the markets after the Madrid terrorist attack, but we were still able to produce positive returns every month of the quarter.

TCI Master € Returns



TCI Master (€) vs MSCI Europe (€)

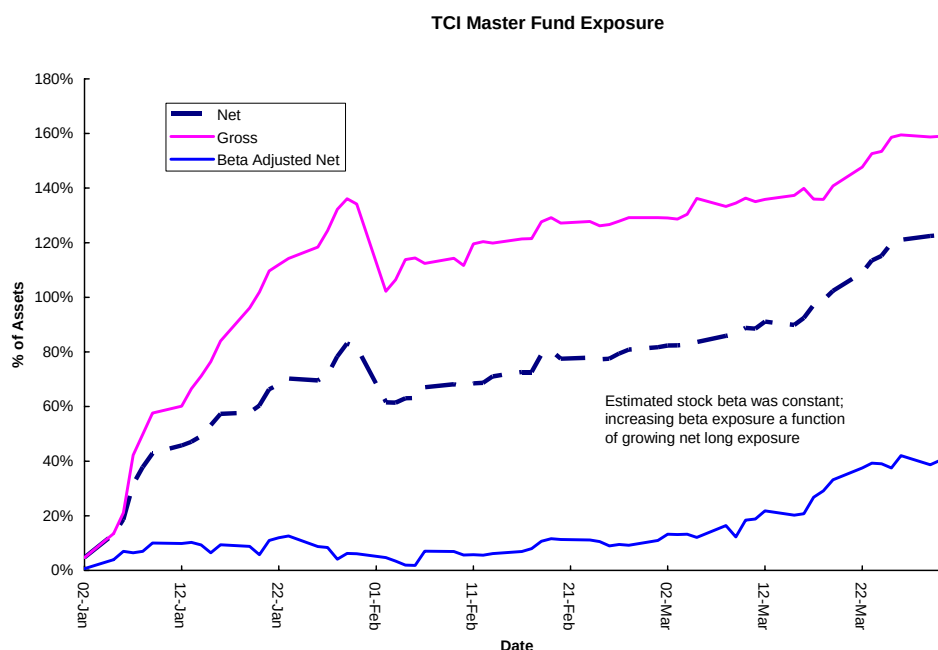


Exposures

Exposures at the month end are detailed below.

Period	Outright Longs	Outright Shorts	Net Exposure	Long side of Share Class Arbitrage	Short side of Share Class Arbitrage
End January	90.0%	-7.0%	83.0%	19.8%	19.7%
End February	87.1%	-4.2%	82.9%	21.0%	20.7%
End March	122.3%	-0.2%	122.1%	18.4%	17.4%

The graph below illustrates our pace of getting invested over the quarter on a gross, net and beta adjusted basis.



The key points of our exposures are as follows:

- (1) The Fund did not move into a fully invested position until March. As in any new fund, performance was negatively impacted by holding cash balances whilst completing this process.
- (2) The Fund was invested at quarter end 158% gross (longs plus shorts/NAV) and 122% net long with almost no outright short exposure at quarter end. The share class arbitrage positions represent non-voting shares which have offsetting longs of the same company's voting shares. We view these as low value at risk investments.
- (3) The Fund was invested at quarter end 117% in outright longs (and net long) in Europe and 23% in outright longs (and net long) in Asia. The Asian exposure is almost completely in South Korean stocks. The Fund is 33% net long in Italy.
- (4) Exposures are substantively in defensive, lowly rated stocks including utilities, tobacco companies, toll roads, stock exchanges, food stocks, retail banks, and incumbent telephone companies.

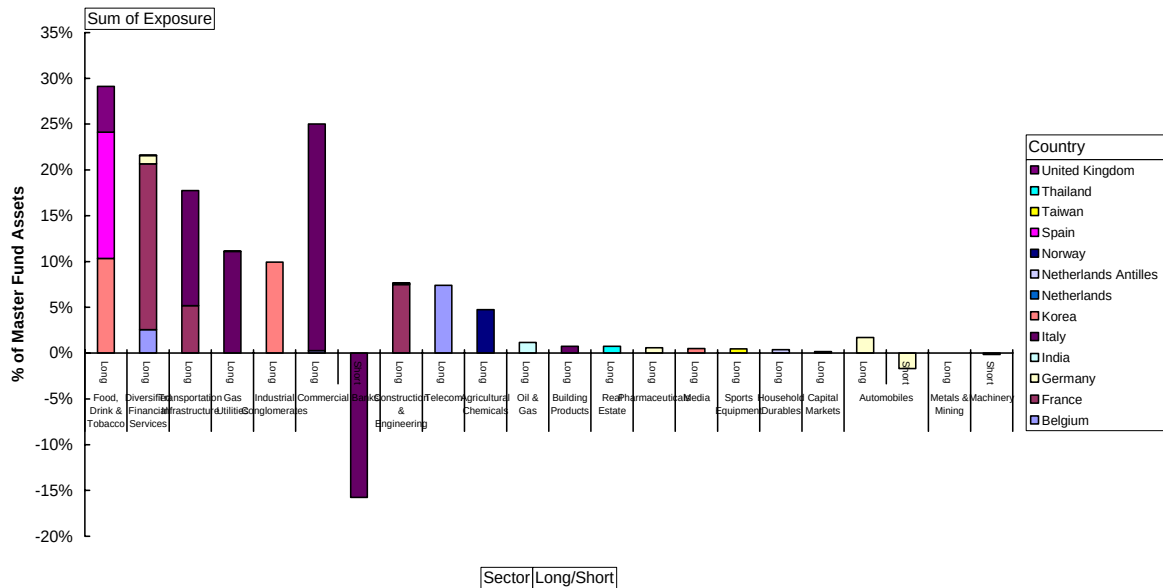
(5) Exposures are highly concentrated. Top 5 holdings (excluding share class arbitrage) represent 65% of the Fund's NAV.

Geographic and industrial splits are shown below.

Sum of Exposure		Country																
Sector	Long/Short	Belgium	France	Germany	India	Italy	Korea	Norway	Spain	Taiwan	Thailand	Neth. Ant.	UK	Neth.	Grand Total			
Food, Drink & Tobacco	Long						10.3%		13.8%				5.0%		29.1%			
Diversified Financial Services	Long	2.6%	18.1%	0.9%			0.0%								21.6%			
Transportation Infrastructure	Long		5.2%			12.6%									17.8%			
Gas Utilities	Long					11.1%	0.0%								11.1%			
Industrial Conglomerates	Long						9.9%								9.9%			
Commercial Banks	Long Short	0.3%				24.8%									25.0%			
						-15.8%									-15.8%			
Construction & Engineering	Long		7.5%				0.1%							0.1%	7.7%			
Telecom	Long	7.4%													7.4%			
Agricultural Chemicals	Long							4.7%							4.7%			
Oil & Gas	Long				1.1%										1.1%			
Building Products	Long					0.7%									0.7%			
Real Estate	Long										0.7%				0.7%			
Pharmaceuticals	Long			0.6%											0.6%			
Media	Long						0.5%								0.5%			
Sports Equipment	Long									0.5%					0.5%			
Household Durables	Long											0.4%			0.4%			
Capital Markets	Long						0.2%								0.2%			
Automobiles	Long Short			1.7%											1.7%			
				-1.7%											-1.7%			
Metals & Mining	Long						0.0%								0.0%			
Machinery	Short			-0.2%											-0.2%			
Grand Total		10.2%	30.8%	1.4%	1.1%	33.4%	21.1%	4.7%	13.8%	0.5%	0.7%	0.4%	5.0%	0.1%	123.1%			

% of Master Fund Net Assets

TCI Master Fund
March 2004 Sector and Country Exposures



Longs

Our longs are absolute rather than relative value in stocks where we can see a minimum 25-30%+ upside and expected 10% downside risk. On average, our stocks are trading on a high (frequently greater than 10% of market capitalization) and growing earnings and free cash flow yield in a European environment which currently has 2% short term interest rates. Most of our stocks have dividend yields significantly in excess of short term interest rates and many match or exceed that of long interest rates at 4.1%.

We believe that our investments have high barriers to entry to their businesses – operating generally in monopolies or oligopolies. We do not feel these are relative values which depend on the market for their performance in the long term. In several cases there are catalysts for stock performance, but in all cases we are investing first and foremost on the basis of a strong valuation case and business franchise.

For those investors which have signed our confidentiality agreement, our top long positions are detailed in the Appendix to this letter.

Shorts

On the short side we are finding few stocks in Europe which meet our minimum criteria of 30-50%+ clear downside with catalysts. One of the major reasons for this is that we think that European markets are not expensively valued. Morgan Stanley estimates that the European market trades on around 13 x their estimated earnings on 2004 versus 18 x estimated earnings for the S & P 500. Nonetheless, we do not feel that we have yet been as effective on the short side as we can be but have been disciplined to only put on short exposure where we feel we have a margin of safety.

One example of a meaningful short position taken during the quarter (it was a 2.5% short for us) was Bayerische Hypovereinsbank in Germany. We went short this stock at 21.5 euros on the basis that a) we estimated its stand alone worth at €11-14 (based on a discount to pro forma book value of 17 due to structurally poor returns on equity and poor asset quality) and b) we had a catalyst. Despite aggressive asset sales during the last year, including Hypo Real Estate and Bank Austria, it was still short capital necessary in order to maintain its credit rating. In March, they announced a rights issue for 3 billion euros which, unlike most other recent European rights issues, caused the stock to fall to 16 euros where we covered our short.

For those investors concerned about our lack of short exposure it is worthwhile reminding you that our strategy is not to short for the purpose of market hedging or volatility smoothing because our time horizon is long term and not short term. This is particularly the case because (a) we think our stocks are lowly rated absolute values and (b) (partly as a result of (a)) our stocks have a low market sensitivity measured by their Beta. We see shorts as a separate strategy in their own right rather than as a hedge to our longs or as a market hedge. Nonetheless it is worth noting that the Fund has no protection against the systemic risk of a market collapse.

Asian Exposure

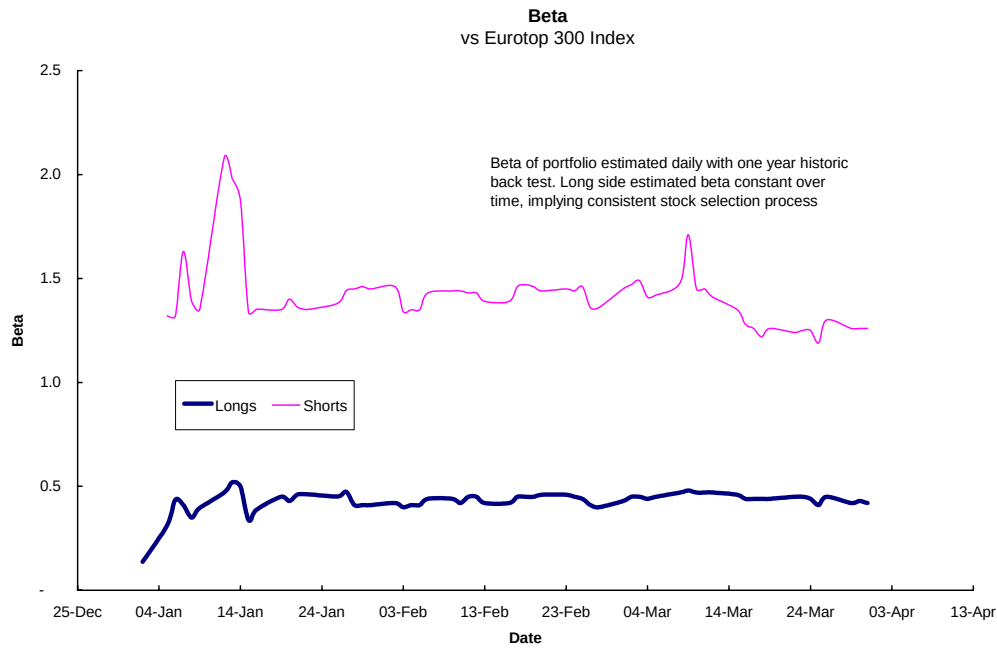
As we highlighted to investors during our marketing, we are a global Fund and will invest outside of Europe if we find compelling values. Long term we feel, like many others, that Asia offers superior economic fundamentals to Europe and the US. Within Asia we have identified Korea as a very cheap stock market, especially for mid and small cap stocks, and have invested approximately 22% of the portfolio there. We started investing in our biggest holding in Korea at a P/E of under 3 x and a 75% discount to our estimate of intrinsic value.

For risk management purposes we have decided to limit our fund exposures to any single country outside of Europe and the United States to a maximum of 20-25% of the Fund. As a result, we are considering the idea of offering a small Asian overflow fund for a limited number of investors for ideas in Asia which hit our portfolio limit on a country or

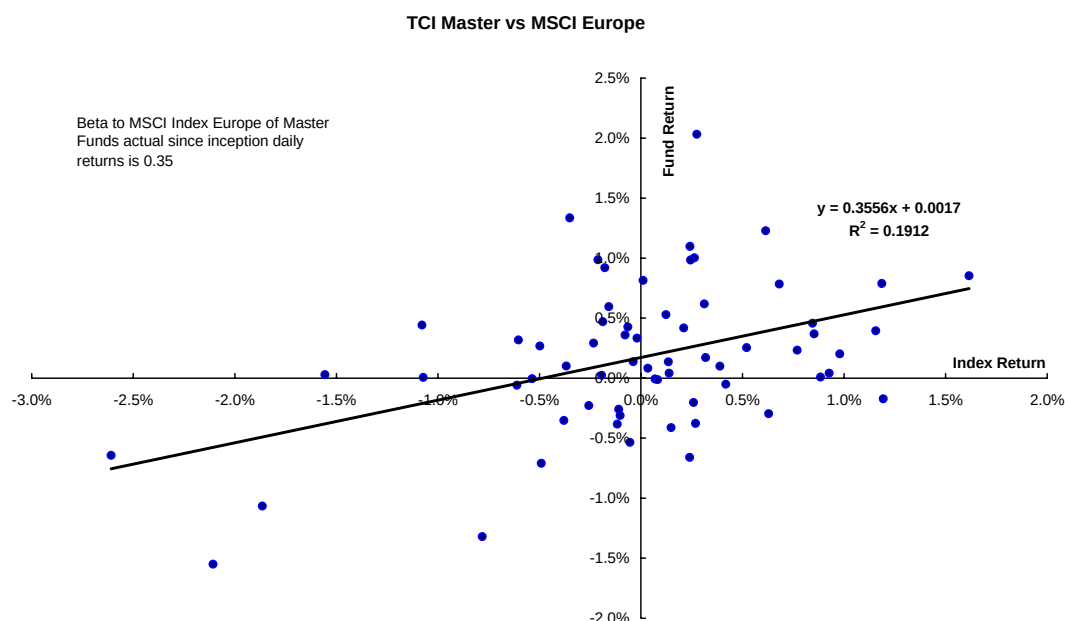
stock specific basis due to risk and liquidity reasons but which we feel offer compelling value. We are happy to discuss this with any interested investors.

Market Sensitivity of Fund

In the first quarter, the Fund's experienced beta relative to the MSCI Europe Index averaged 0.35. The historic beta of the longs measured over a period of one year averaged 0.43. This is illustrated in the following graphs.



The scatter plot below illustrates that our market correlation has been low (R squared of 19%) and our alpha generation high during this quarter. The vertical axis plots the market return on a specific day and the horizontal axis plots our fund return on that day. The slope of the line measures our experienced Beta and the intercept our daily alpha. We provide the information for you without arguing its statistical significance given the limited number of data points.



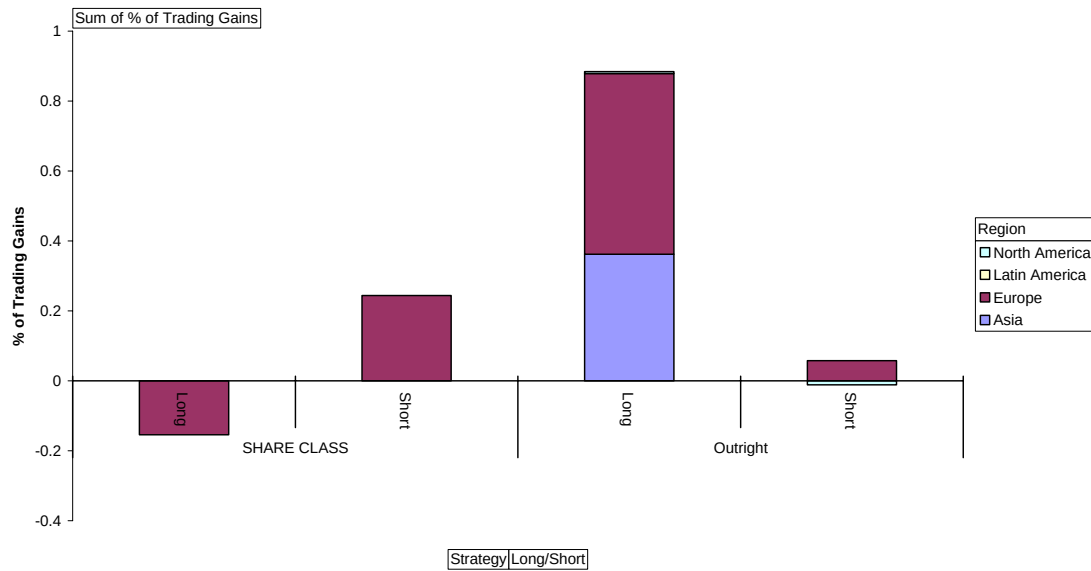
Foreign Currency Exposure

The Fund has and will continue to always hedge its European currency exposures into dollars for dollar class investors. However, we have currently decided not to hedge our Korean Won exposure. The rationale for this is that our largest investment there has significant export earnings which will be negatively impacted by Won appreciation. Moreover, the overall market, for the same reason, is likely to also be hurt by a significant Won appreciation. The currency is managed by the South Korean Government against appreciation adding weight to our concern on this risk of currency appreciation. So in summary, not hedging the currency in this case acts as a natural (albeit imperfect) hedge to our stock positions, except in the case of devastating geopolitical events. The Won strengthened by 4% in the quarter and we estimate that this currency effect added c.70bp to portfolio returns.

Attribution

Total trading gains in the quarter were €54.9m. These are gains post commission but pre financing and fund expenses. Of these gains, 66% were made in European stocks and 36% in Asian stocks. Reflecting the concentrated nature of the Fund, about two thirds of the Asian gains were made in one stock. Of the European gains, one third were made in one stock. Outright longs accounted for 88% of gains and outright shorts 5% of gains. 9% of profits came from share class arbitrage investments. The graph following and Appendix 1 illustrates this attribution analysis.

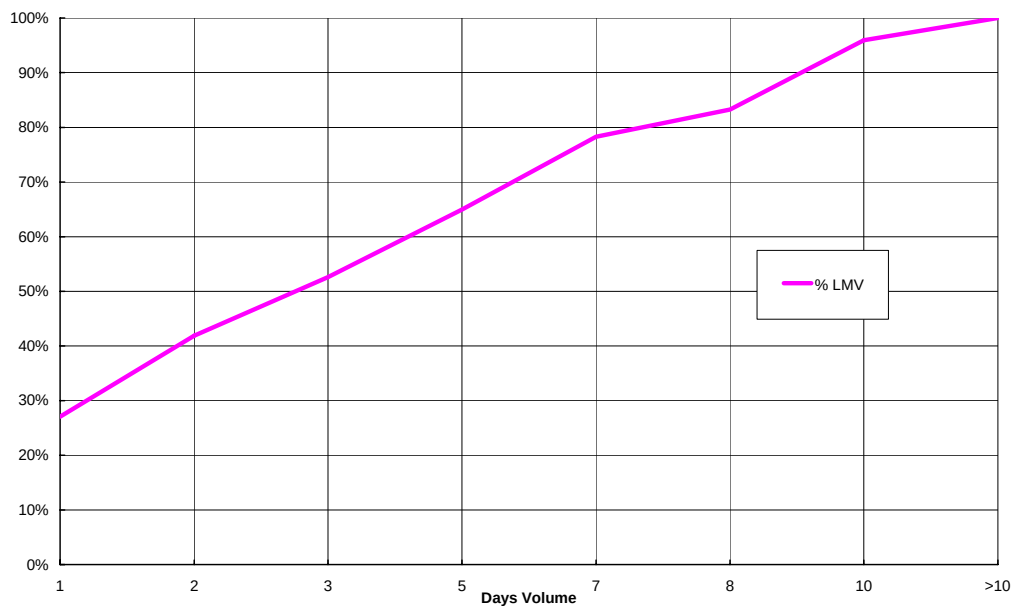
TCI Master Fund Q1 2004 Attribution of Returns



Liquidity Analysis

The graph below illustrates that the portfolio is neither liquid nor illiquid. We are using our lock up to allow us to make concentrated bets in less liquid mid cap names.

TCI Funds Liquidity Profile



We estimate that all short positions represented less than one day's volume. 27% of long market value represented less than one day's volume, 42% less than two day's volume, 65% represented less than 5 days volume and 90% represented less than 9 days volume, as illustrated by the cumulative chart above. These statistics include large share class arbitrage positions which we estimate represent 9 days volume on the long side and half a day on the short i.e. in aggregate they add about 2 days to the statistics. We think that these positions can be closed out with minimal market impact.

Leverage

We think that our current portfolio's low beta makes it appropriate to use a modest amount of leverage in the Fund. However, we are currently continuing to find attractive opportunities and may consider accepting a small amount of additional capital in order to manage this leverage to an appropriate level of risk. We will discuss this issue on our conference call with all of you, but want to note that we do not wish to ever dilute returns through carrying excess capital since the partners of the firm and the Foundation are amongst the largest investors in the Fund.

Stock Market Summary

For the first two months of the year equity markets continued their strong rally of 2003. However, the terrorism in Madrid served as a catalyst for a market correction in March eliminating all the gains for the year in both the US and Europe. Asian markets, however, have appreciated 10-15% during the first quarter reflecting continued strong economic fundamentals and fund inflows into these markets. Ten Year Euro swap rates have declined in Europe from 4.3% 6 months ago to nearer 4.1% today as record short term rates stay on hold and, according to recent ECB comments, may move lower.

Economic Climate

The economic picture in Europe is weak with Q4 GDP rising a meagre 0.4%. The strong euro has clearly exacerbated the structural weaknesses of European economies. In this context we feel comfortable being in defensive companies until we see more value in economically sensitive businesses.

Staffing

Our analyst and operations team have generally been settling in and performing well. Unfortunately, due to personal reasons, Mads Gensmann has decided to resign shortly after joining us. We are sorry to have lost him since he was doing well with us. We are currently in discussions with one experienced candidate as a replacement. We are also undertaking a search process for an analyst hire to be based in Asia.

The Children's Investment Fund Foundation

Total estimated foundation contributions earned (both paid and accrued) in the first quarter were \$723,000. We hope that investors will value the social bottom line that we expect the foundation will create. The Foundation will give a short mid year update of its work in the next quarterly investor letter.

Summary

We feel that we have solid investment ideas in a difficult investing environment. We are very focussed on understanding our companies as well as we can. For nearly all our portfolio companies in both Europe and Asia, we have met with top management in 2004 to discuss their businesses in depth and understand their strategy.

We welcome an open and honest relationship with our investors and thank you for your support.

Christopher Hohn

Managing Partner

The Children's Investment Fund Management (UK) LLP

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APPENDIX 1

Top Positions at Quarter End

Stock	% Master Fund Assets	Country	Market Cap	% of Q1 Trading Gains
Euronext	18.1%	France	\$3.6bn	22.6%
Banca Intesa Risp	16.7%	Italy	\$2.52bn	22.3%
Banca Intesa Ordinary	-15.8%	Italy	\$20.3bn	-13.5%
Altadis	13.8%	Spain	\$9.0bn	9.3%
Autostrade	12.6%	Italy	\$10.1bn	2.0%
Snam Rete Gas	11.1%	Italy	\$8.8bn	7.2%
LG Corp	9.9%	South Korea	\$3.0bn	25.9%
Belgacom	7.4%	Belgium	\$12.2bn	2.4%
Unicredito	6.5%	Italy	\$30.9bn	-8.5%
KT&G	6.3%	South Korea	\$4.1bn	9.8%
Vinci	5.4%	France	\$8.1bn	9.9%
Autoroutes du Sud de la France	5.2%	France	\$8.6bn	3.4%
Total	97.2%		Total	92.8%

Source: TCI, Bloomberg LP